

7.3 Cost Overrun Analysis

A post-mortem for every budget category that blows past its allocation.

Purpose of Cost Overrun Analysis

When expenses exceed your budget, it's critical to document and analyze what happened. This analysis helps you:

- Understand the true financial impact of the overrun
- Identify root causes and prevent future budget issues
- Make informed decisions about adjustments to other categories
- Learn valuable lessons for future projects
- Communicate clearly with lenders or partners about budget changes

WHEN TO USE THIS FORM: Complete a Cost Overrun Analysis whenever a budget category exceeds its allocated amount by more than 5%.

COST OVERRUN ANALYSIS #1

Budget Category: _____ Date Overrun Identified: _____

Financial Details

Item	Amount (\$)
Original Budget Amount	
Current Actual Cost	
Overrun Amount	
Percentage Over Budget (%)	

Reason for Overrun (check all that apply)

- | | |
|---|---|
| ☐ Underestimated material costs | ☐ Unforeseen site conditions |
| ☐ Underestimated labor costs | ☐ Mistakes or rework required |
| ☐ Material price increases after initial budget | ☐ Code requirements not initially considered |
| ☐ Scope creep (added features or upgraded materials) | ☐ Weather delays increasing costs |
| ☐ Design changes or corrections | |

☐

Other: _____

Detailed Explanation

Could It Have Been Prevented?☐

Yes

☐

No

☐

Partially

If yes or partially, how could it have been prevented?

Lesson Learned

Impact on Total Budget☐

Absorbed by contingency fund

☐

Requires cuts in other categories (list below)

☐

Requires additional financing

☐

Other: _____

Budget Categories to be Reduced (if applicable)

Action Plan Moving Forward

COST OVERRUN ANALYSIS #2

Budget Category: _____ Date Overrun Identified: _____

Financial Details

Item	Amount (\$)
Original Budget Amount	
Current Actual Cost	
Overrun Amount	
Percentage Over Budget (%)	

Reason for Overrun (check all that apply)

- | | |
|---|---|
| ☐ Underestimated material costs | ☐ Unforeseen site conditions |
| ☐ Underestimated labor costs | ☐ Mistakes or rework required |
| ☐ Material price increases after initial budget | ☐ Code requirements not initially considered |
| ☐ Scope creep (added features or upgraded materials) | ☐ Weather delays increasing costs |
| ☐ Design changes or corrections | |
| ☐ Other: _____ | |

Detailed Explanation

Could It Have Been Prevented?

- ☐ Yes ☐ No ☐ Partially

If yes or partially, how could it have been prevented?

Lesson Learned

Impact on Total Budget

- ☐ Absorbed by contingency fund
- ☐ Requires cuts in other categories (list below)
- ☐ Requires additional financing
- ☐ Other: _____

Budget Categories to be Reduced (if applicable)

Action Plan Moving Forward

ADDITIONAL NOTES
